

**MASTERCARD****OUTPERFORM**MA US ■ PRICE USD576.0* ■ TARGET PRICE **USD713** (UPSIDE 24%)

TARGET PRICE	EPS 26e	EPS 27e
↗ 5%	↗ 1%	↗ 3%

VISA**OUTPERFORM**V US ■ PRICE USD370.5* ■ TARGET PRICE **USD425** (UPSIDE 15%)

TARGET PRICE	EPS 09/26e	EPS 09/27e
↗ 1%	unchanged	non material

Mastercard's catch up set to continue

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Stronger earnings momentum, better earnings visibility, improved structural growth drivers and supportive themes all helped V outperform MA in the last few quarters with MA's historical premium shrinking from >4 PE turns in CY25 to 0.7x in Q2 26 before expanding again to 1.5x recently on the back of MA's solid Q2 26 release. We believe all these drivers might turn to MA's favour in the next few quarters, and we think there's room for MA shares to continue to rebuild some of their historical premium. We expect V's net revenue growth to steadily decelerate over the next 3 quarters, and we think mgt might struggle to beat their recent commentary re. FY27 net revenue growth (accelerating from high-end of ldd). Conversely, we see MA's net revenue growth step up in the current quarter and sustain strong growth over 2027, possibly delivering as much as 14% in 2027. We are in-line with consensus on FY27 EPS for V, and 3% ahead for MA. With slowing incentives growth and sustained strong VAS performance, we believe MA shares can re-rate. We up our MA TP by 5% to \$713 suggesting c25% upside and leave our V TP broadly unchanged at \$425, c15% upside. Reiterate Outperform on both, with a relative preference for MA.

We believe MA can start outperforming V markedly again on net revenue growth in 2027

We do not believe that core pricing will be as much of a headwind to Mastercard as some investors seem to fear, whilst our work indicates incentives growth might start moderating from Q4 26. Also, we believe cross-border might be a slightly stronger tailwind to MA, whilst Value-Added Services (VAS) at MA will possibly benefit from a better Cyber pipeline and might slow 7pts yy at Visa as it laps FY26's Olympics and World Cup-related demand.

We believe MA can also reassure on the quality of its underlying growth drivers in 2027

Beyond their impact on numbers, slowing incentives growth and sustained VAS strength, if confirmed, would reassure on MA's competitiveness and sustainability of growth and could therefore also support a re-rating.

ESG RATINGS & KEY TOPICS

Mastercard

Average

- 4/5 Ethics and corruption
- 3/5 Customers | Affordability and acces...
- 1/5 Competitive and selling practices

Visa

Average

- 4/5 Ethics and corruption
- 3/5 Customers | Affordability and acces...
- 1/5 Competitive and selling practices

Topics scored vs peers from 1 (low) to 5 (high performance)

Mastercard (+)

	MA US
Closing Price*	USD576.0
Target Price	USD713
Upside	24%
Mkt Cap (USDbn / EURbn)	503.3 / 436.3
Country / Sector	USA / Payment Services

Financials	12/25	12/26e	12/27e	12/28e
EPS, Adjusted (USD)	17.3	20.4	23.8	28.5
EPS, Company (USD)	17.01	20.12	23.57	28.19
EPS - Bloomberg (USD)	16.5	19.9	23.0	26.8
P/E (x)	32.3	28.2	24.2	20.2
Net yield (%)	0.6	0.7	0.8	1.0
FCF yield (%)	3.3	3.3	4.1	5.0
EV/Sales (x)	15.8	13.7	11.7	10.0
EV/EBITDA (x)	25.2	21.5	18.1	15.3
EV/EBITA (x)	26.3	22.3	18.8	15.8
EV/CE (x)	27.8	22.8	18.6	15.3
Net Debt/EBITDA, Adj. (x)	0.4	0.3	0.3	0.2

* Closing prices at 6 August - All valuation metrics based on adjusted figures

Visa (+)

	V US
Closing Price*	USD370.5
Target Price	USD425
Upside	15%
Mkt Cap (USDbn / EURbn)	706.2 / 612.2
Country / Sector	USA / Payment Services

Financials	09/26e	09/27e	09/28e	09/29e
EPS, Adjusted (USD)	13.3	15.2	17.7	20.6
EPS, Company (USD)	13.27	15.26	17.77	20.63
EPS - Bloomberg (USD)	13.2	15.0	17.0	19.8
P/E (x)	27.9	24.3	20.9	18.0
Net yield (%)	0.7	0.8	1.0	1.1
FCF yield (%)	3.8	4.4	5.2	6.1
EV/Sales (x)	15.5	13.3	11.4	9.7
EV/EBITDA (x)	22.0	19.0	16.2	13.8
EV/EBITA (x)	22.9	19.7	16.8	14.3
EV/CE (x)	15.8	15.3	14.9	14.4
Net Debt/EBITDA, Adj. (x)	0.3	0.3	0.3	0.3

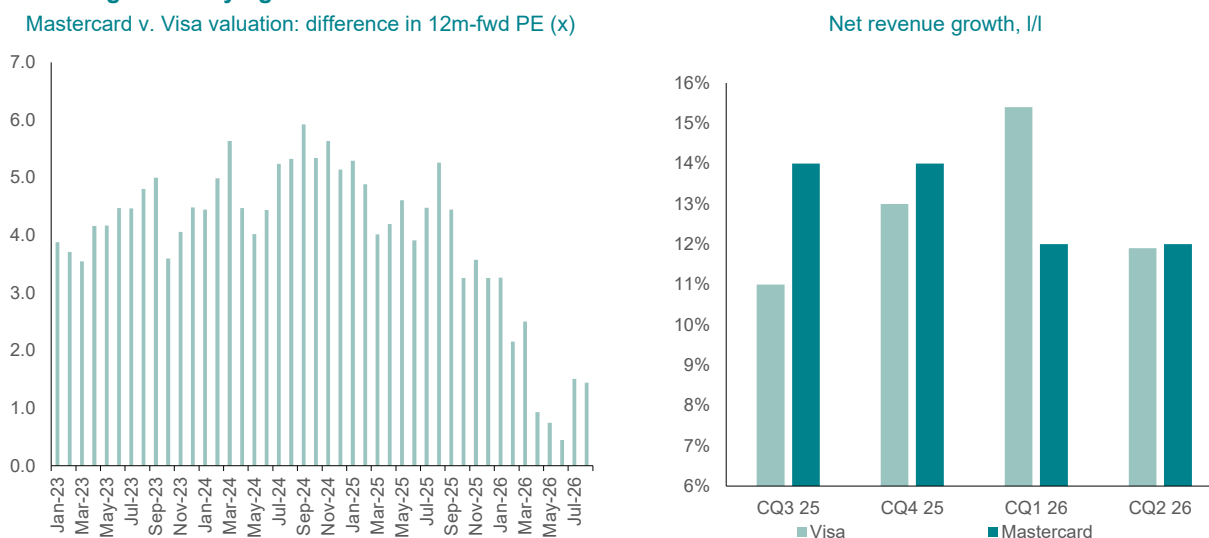
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Investment summary

Mastercard has only just timidly re-rated for now

Visa has outperformed Mastercard significantly over the last year, with Mastercard's premium to Visa dropping from >4.7x PE turns in the summer of 2025, to 3.3x turns following the publication of CQ3 results, to 2.3x turns post CQ4, and to 0.7x post CQ1. With a solid print and guide in July, Mastercard re-rated somehow, now trading c1.5x PE turns ahead of Visa.

Figure 1: Mastercard's de-rating accelerated from CQ4 25 as Visa showed greater earnings momentum, but also stronger underlying trends and a better narrative



Sources: company data, BNP Paribas Equity Research

We believe Visa's outperformance has been led by i) stronger top line momentum, ii) better short-term earnings visibility (World Cup monetization, clear incentive guide, lower Middle East exposure, greater sensitivity to US inbound travel, etc), and importantly iii) broad-based strength in Visa's accelerants – i.e. Value-Added Services ex-Marketing Services and Commercial and Money Movement Services – suggesting that part of Visa's net revenue growth acceleration might sustain in the longer term.

Whilst we expect Visa to continue to deliver strong results, we believe all of the above could turn into Mastercard's favour in the next twelve months leading to a re-rating of the shares.

Reviewing net revenue drivers

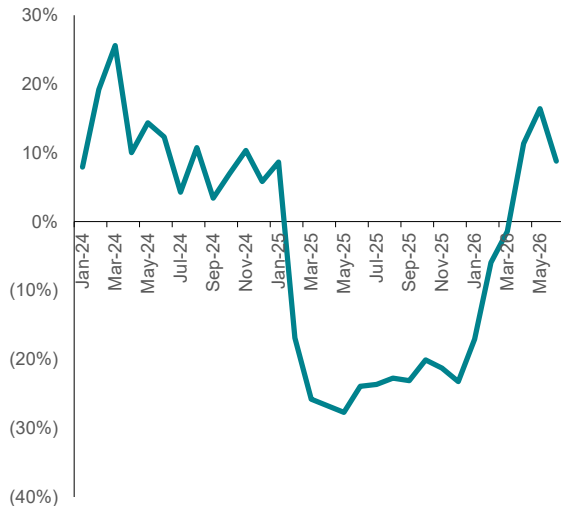
This is how we think of Visa and Mastercard's main revenue drivers, how they played out over the last twelve months and how they might come through over the next twelve months.

Cross-border. Visa and Mastercard cross-border volume ex-Intra Europe grew in sync at constant FX over the last couple of years until CQ1 26 when the conflict in the Middle East and client mix appear to have been a greater headwind to Mastercard's cross-border travel volume. This started to fade in CQ2 and we'd expect further normalisation in the coming quarters whilst a more recent cross-border volume driver – better USD availability in Venezuela driving cross-border eComm volumes and Mastercard enjoying a market leader position in Venezuela – could remain a support in the next three quarters.

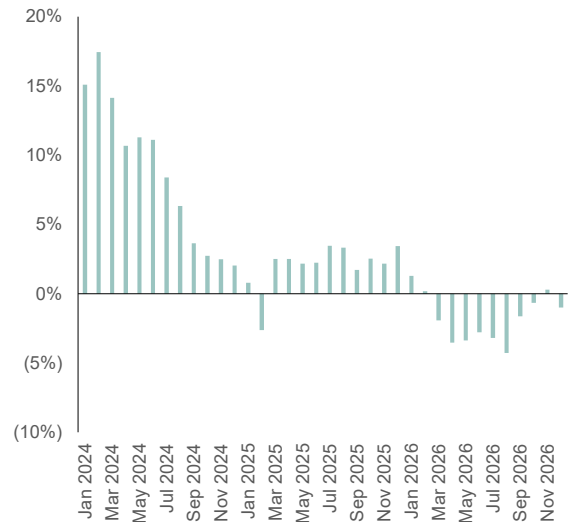
Thinking of mix and yield in cross-border, a multitude of factors come into play – e.g. client mix, product mix, corridor mix – and the one we can assess is US inbound travel, that Visa has always presented as lucrative flows. This mix deteriorated in 2025, and Visa started lapping that headwind early in FY26. Looking forward, Canada-US border crossings don't suggest much of an improvement (mostly lapping) whilst airline capacity intentions point to a small improvement in US inbound travel in FQ1 27. We do not think there's enough there to get excited about corridor mix for Visa as we go into FY27.

Figure 2: US inbound travel trends seem rather neutral for Visa as we go into FY27

Yy change in vehicle passengers crossing the Canada-US border



Yy change in total US inbound airline capacity and capacity intentions



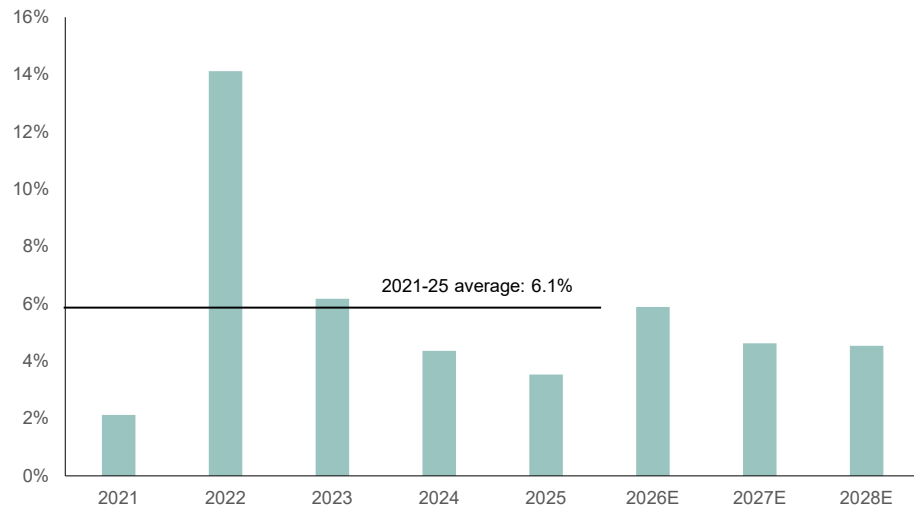
Sources: US Department of Transportation, BNP Paribas Equity Research

Core pricing. Mastercard's payment network's gross yield is up 5.6% YTD (excl. Transaction processing assessments to remove the impact from FX volatility-related revenues), accelerating from 3.6% in 2025. This does look like a sharp acceleration that could question MA's ability to push further core pricing in 2027. Taking that +5.6% in a broader context though and as illustrated below, that msd growth seems consistent with average yield growth over the last five years. We do model that MA's yield growth moderates slightly in 2027.

Visa's gross yield ex-Value-Added services and ex-International Transaction Revenue grew c2% YTD compared to +1.3% in CY25. We do model that V's yield growth accelerates to c3% in 2027.

Figure 3: Mastercard's core pricing is trending up in 2026, but not incredibly so by historical standards

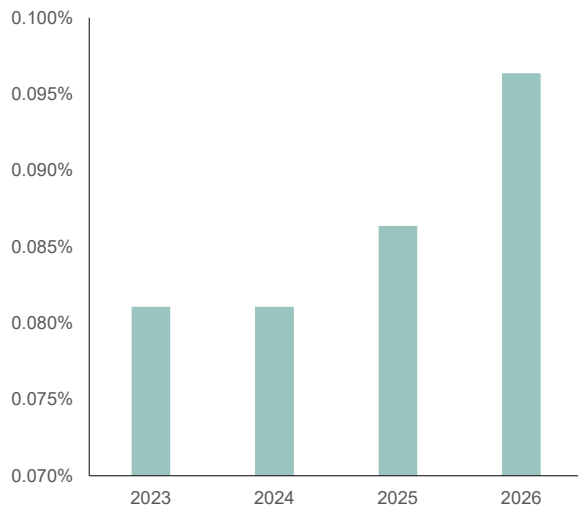
Yy change in Mastercard's gross Payment Network yields ex-Transaction Processing assessments



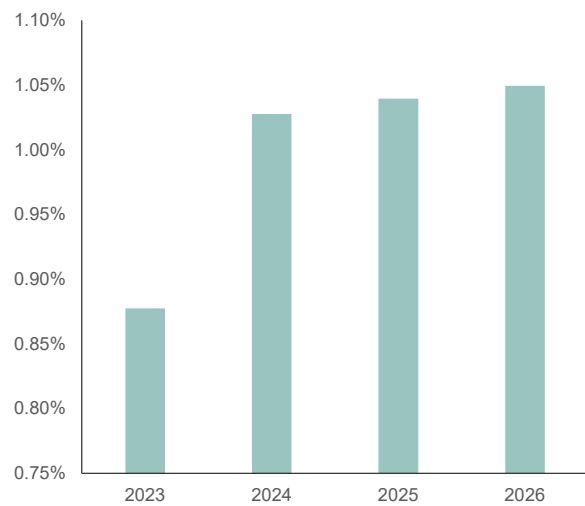
Sources: Mastercard, BNP Paribas Equity Research estimates

Figure 4: Card schemes can rotate their fee hikes across many dimensions: domestic vs interregional, regions, consumer vs commercial, face-to-face vs remote, etc – Mastercard for instance hiked domestic fees in the Eurozone this year, but has left interregional pricing unchanged for three years now

Merchant scheme fees on a consumer domestic Mastercard Debit face-to-face transaction* in the Eurozone



Merchant scheme fees on a consumer interregional Mastercard Debit face-to-face transaction* in the Eurozone



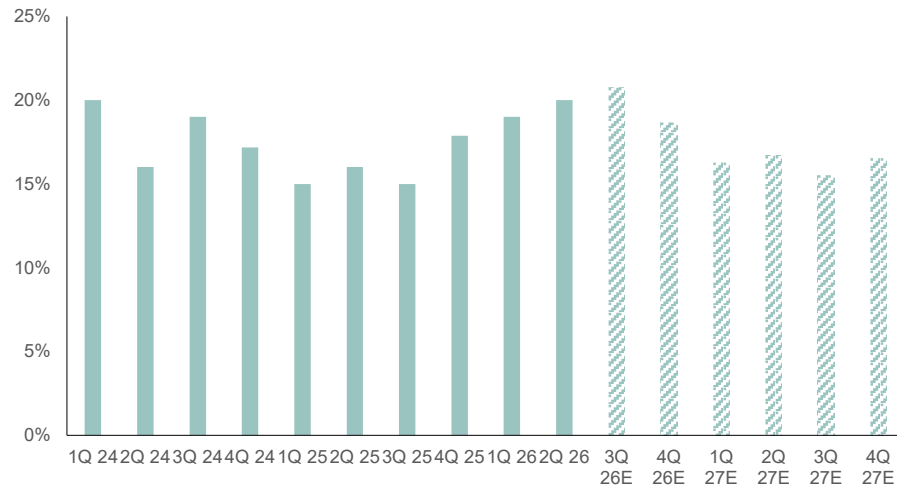
Sources: Commercial acquirers, BNP Paribas Equity Research // *we assume EUR35 average transaction size in Domestic and EUR100 in interregional

Incentives. Rebates and Incentives growth at Mastercard has picked up since Q4 25. Management commented that R&I as a percentage of payment network gross revenue in Q3 26 should be 'slightly higher than it was in Q2'. Precedent communication suggests that 'slightly higher' means c1pt. If confirmed, this points to R&I growth stabilizing on a 2Y-stack basis in Q3 and if this holds into Q4, yy R&I growth should start moderating in Q4. As illustrated below, we'd expect R&I growth to slow from Q4 onwards as comps get easier.

Also, we recall that Mastercard won Natwest and Deutsche Bank's debit portfolios in Q4 2020 and these might have come due for renewal five years later, possibly explaining the hump in R&I growth from Q4 25 onwards (although admittedly, deals of that size might be longer dated compared to the standard 5Y contract term).

Figure 5: We believe Rebates and Incentives growth at Mastercard will peak in Q3

Yy change in rebates & incentives at constant FX



Sources: Mastercard, BNP Paribas Equity Research estimates

As to Visa, FY22 was a slow year for renewals (Visa renewed 15% of their volume vs. 15-20% on average in any given year) and therefore investors expect FY27 to also be a slow renewal year, leading to moderating incentives growth. This makes a lot of sense to us.

We'd recall, however, that Visa's incentives came in below management's expectations in FQ1 26 and FQ2 26 as some deal renewals got pushed to the right and are now in the process of being renewed (management continues to expect to renew c20% of Visa volume by the end of the fiscal year). Also, FQ3 showed a lot of new deal activity and, reflecting both elements, management guided to incentives growth accelerating slightly in FQ4 despite a much easier comp: we believe that elevated FH2 26 incentive growth will roll into FY27 and that FY27 incentive growth might turn out to be higher than what some investors seem to expect.

Value-Added Services. Visa's FY26 VAS performance is supported by major sporting events in the Winter Olympics and the FIFA World Cup, with VAS I/I growth accelerating to 28% in 9mFY26 compared to 21% in the comparable prior year period. Management keeps commenting that VAS strength is broad-based and not limited to sporting events, but it doesn't quantify the exact contribution from such sporting events.

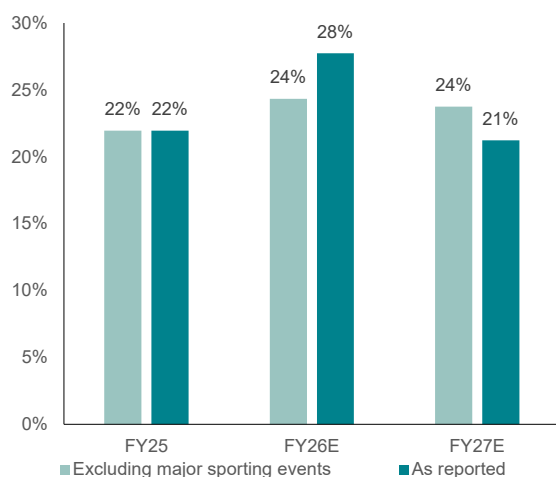
The temporary benefit from these sporting event sponsorships shows in Marketing Services (undisclosed), itself part of Advisory and Other Services (latest disclosure: \$1.3bn in revenue in FY24 growing mid30s), itself part of Other revenue (disclosed). Based on Visa's disclosure and commentary, we estimate that major sporting events will have accelerated VAS growth by c4pts to 28% in FY26, and that VAS growth in FY27 will slow to 21%. That 21% is still a very strong number in our eyes, but the magnitude of that slowdown implies a c2pt headwind to growth at group level that we believe Visa will struggle to power through.

Conversely, Mastercard's VAS in the coming quarters might benefit from growing financial institutions' demand for cybersecurity solutions. As illustrated below, Security Solutions is Mastercard's largest service line, accounting for c40% of its total VAS revenue, whilst Visa's Risk and Security line accounts for c17% of its VAS (although definitions are not fully comparable and we believe Visa's total Security exposure is slightly larger).

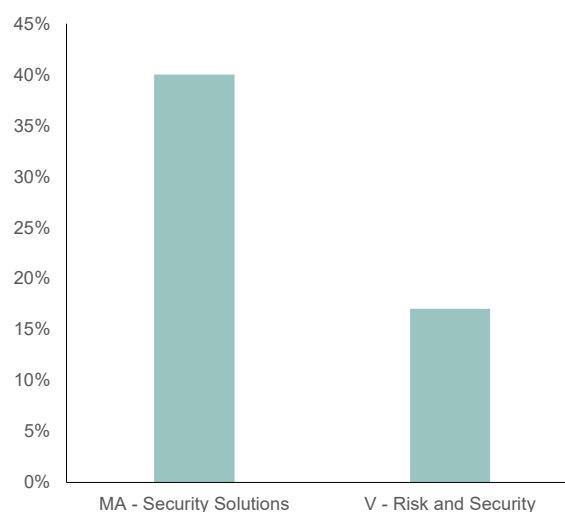
We understand that for now, growing banks' demand for cybersecurity solutions has not impacted Mastercard's VAS revenue performance, but is starting to show in its pipeline. We expect that pipeline to convert in the coming quarters and drive a small acceleration in MA's VAS growth.

Figure 6: Visa might see VAS revenue decelerate 7pts next year whilst Mastercard might see some acceleration in VAS led by growing demand for Security solutions

Visa: yy change in VAS revenue, as reported and excluding major sporting events



Share of Security services in Value-Added Services revenue mix, 2024



Sources: company data, BNP Paribas Equity Research estimates

Overall. We believe cross-border should remain a healthy growth driver for both Visa and Mastercard, with possibly a small advantage to Mastercard as the Middle East recovers further and Venezuela continues to do well. We believe core pricing could be a headwind to Mastercard and a tailwind to Visa, but not as dramatic a spread as some investors seem to think. We believe incentives growth normalising could be a bigger support to MA than to V while VAS should also be a stronger support to MA in the coming quarters.

This all points to more tailwind to Mastercard and we believe the implied Q4 26 guide for c13% l/l revenue growth is a good indication of how to think of 2027. And with mgt often seeking to guide cautiously, we believe this 13% likely means that MA could deliver 13-14%. Conversely, V management guided to revenue growing at the high-end of low double digit in FQ4 and framed FQ4 as 'a launching point' into FY27. Sellside consensus hasn't adjusted to that commentary but in our recent conversations, it seems that the buy-side has. We think that growing ahead of 12% will prove challenging for Visa. We see minimal room for V to surprise positively in FY27 and drive upgrades to buy-side expectations.

Reviewing valuation drivers

As mentioned previously, we believe that investors rewarded Visa's earnings momentum and earnings visibility in the last few quarters and, reviewing Visa and Mastercard's revenue drivers, we believe this could turn in Mastercard's favour in the next few quarters.

Also, we believe Visa shares have been supported by an improved view of Visa's structural growth potential – that we share – whilst investors' perception of MA's structural growth deteriorated – which we think is harsh. A few elements fuelled those shifting views on both names in the last few quarters, and could turn in the next few quarters:

- **Visa's VAS portfolio resonates more with clients.** Even before sporting events sponsorships kicked in, Visa's VAS net revenue growth was accelerating to low20s to mid20s and then even over FH1 26 management commented that demand was broad-based and that growth ex-sponsorships was accelerating. A few high-profile wins – such as Wells Fargo selecting Visa Pismo for its core ledger modernization – also participated to that much improved view of Visa's VAS portfolio.

Conversely, MA's Value-Added Services have delivered c18% net revenue growth for the last two years very consistently and in-line with mgt's ambitions but showing no acceleration. MA also started pruning its VAS portfolio in the last quarters and some press articles mentioned that MA was seeking to offload further assets, in bill payment and account-to-account payments notably.

We believe that any growth improved in MA's VAS on the back of stronger demand for cybersecurity services for instance could help rebalance investors' perception of both names and support some re-rating at Mastercard.

- **Visa's product is now more differentiated, and MA can only fight back with price.** We believe part of that view is rooted in Visa's successful share gains in Commercial in the last few quarters, and we expect some of that strength to continue, in particular in virtual cards for B2B payments. But we understand that the bigger argument behind such view, for some investors, is quite simply Mastercard's accelerating incentives growth over the last few quarters.

As discussed previously, we believe MA's incentives growth will start moderating from Q4 and we'd expect that, therefore, to also favourably impact MA shares' rating.

- **Cash digitization has played out, and this impacts MA's algo more.** The end of cash digitization isn't a new concern. It impacted V first post-COVID as the US then came across as the first large region to have fully digitized cash. It is now impacting Mastercard as Europe is viewed as the next large region where cash is finally on the out and, as that structural growth lever fades, making Mastercard more sensitive to macro and sadly European macro tends to be unsupportive.

We do agree. The one nuance that we'd highlight is that this isn't new. Europe too saw fast cash digitization during COVID and if some countries went back to cash as inflation came back in 2022 – e.g. Germany, the UK –, on the whole, cash digitization has been a fading growth driver to Mastercard in Europe, we believe, for many years now. We view this as part of MA's algo over the last few years and we do not believe this inflected for the worse in the last few quarters.

Changes to our forecasts and TP, and thoughts on valuation

On the back of the detailed examination of earnings drivers discussed previously, we raise our 2027 EPS by 3% for Mastercard and tweak it up 1% for Visa.

We highlight that we expect Visa's net revenue growth at constant FX and scope to slow over FQ1 and FQ2 27, in-line with consensus. We expect Mastercard's net revenue growth at constant FX and scope to step up in Q4 26 and sustain at those high levels over H1 27, ahead of consensus.

We expect Visa to grow l/l revenue by c12% in FY27 and Mastercard to grow l/l revenue by c14% in 2027.

Figure 7: We expect Visa to report a solid FQ4 and then to see net revenue growth fade over FH1 27, in-line with consensus

Visa – detail of our quarterly forecasts

	FQ4 25	FQ1 26	FQ2 26	FQ3 26	FQ4 26	FQ4 26		FQ1 27	FQ1 27		FQ2 27	FQ4 26	
	Actual	Actual	Actual	Actual	BNPP	Cons.	Diff.	BNPP	Cons.	Diff.	BNPP	Cons.	Diff.
OPERATING KPIS													
Total Payment Volume, USDbn	3,730	3,869	3,731	4,006	4,066	4,063	0%	4,212	4,196	0%	4,029	4,021	0%
Yy change at current FX	9.5%	9.8%	11.5%	10.7%	9.0%	8.9%		8.9%	8.5%		8.0%	7.8%	
<i>Yy change, local ccy</i>													
World Payment Volumes	8.8%	8.0%	8.9%	9.9%	9.2%	9.0%		8.9%	8.7%		8.6%	8.4%	
> US Credit	7.6%	7.4%	9.6%	11.0%		8.4%			7.6%			6.7%	
> US Debit	7.7%	5.8%	6.7%	9.0%		8.1%			7.3%			6.9%	
> Total US	7.6%	6.6%	8.0%	10.0%	9.2%	8%		8.0%	8%		7.5%	7%	
> Total Europe	10.7%	10.9%	11.3%	10.8%	10.5%	11%		10.8%	10%		10.5%	10%	
> x-border volumes ex-intra-europe, local ccy	11.0%	11.0%	11.0%	12.0%	12.4%	12.9%		11.5%	11.7%		11.5%	11.7%	
No of processed transactions, m	67,654	69,400	66,086	71,662	74,314	73,939	1%	75,975	75,743	0%	72,372	72,083	0%
Yy change	10.0%	8.8%	9.0%	9.5%	9.8%	9%		9.5%	9.1%		9.5%	9.1%	
	FQ4 25	FQ1 26	FQ2 26	FQ3 26	FQ4 26	FQ4 26		FQ1 27	FQ1 27		FQ2 27	FQ4 26	
	Actual	Actual	Actual	Actual	BNPP	Cons.	Diff.	BNPP	Cons.	Diff.	BNPP	Cons.	Diff.
INCOME STATEMENT													
Service	4,602	4,760	4,981	4,922	5,328	5,180	3%	5,318	5,265	1%	5,559	5,479	1%
Yy change	9.6%	13.1%	13.2%	13.7%	15.8%	12.6%		11.7%	10.6%		11.6%	10.0%	
Data processing	5,394	5,544	5,543	6,042	6,317	6,169	2%	6,420	6,240	3%	6,333	6,136	3%
Yy change	17.0%	16.8%	17.9%	17.3%	17.1%	14.4%		15.8%	12.6%		14.2%	10.7%	
Int'l transaction	3,800	3,652	3,631	3,853	3,959	4,105	-4%	3,902	4,045	-4%	3,727	4,011	-7%
Yy change	9.6%	6.1%	10.3%	6.1%	4.2%	8.0%		6.9%	10.8%		2.7%	10.5%	
Other	1,176	1,214	1,320	1,496	1,588	1,587	0%	1,527	1,503	2%	1,594	1,592	0%
Yy change	21.4%	33.1%	40.9%	45.5%	35.1%	34.9%		25.8%	23.8%		20.8%	20.6%	
Total gross revenue	14,972	15,170	15,475	16,313	17,192	17,041	1%	17,167	17,046	1%	17,214	17,219	0%
Yy change	13.0%	14.0%	16.1%	15.3%	14.8%	13.8%		13.2%	12.4%		11.2%	11.3%	
Client incentives	(4,248)	(4,269)	(4,245)	(4,680)	(5,020)	(4,959)	1%	(4,978)	(4,876)	2%	(4,820)	(4,850)	-1%
as % of gross revenues	28.4%	28.1%	27.4%	28.7%	29.2%	29.1%		29.0%	28.6%		28.0%	28.2%	
Yy change	17.1%	12.4%	13.7%	17.8%	18.2%	16.7%		16.6%	14.2%		13.5%	14.3%	
Total net revenues	10,724	10,901	11,230	11,633	12,172	12,079	1%	12,189	12,184	0%	12,394	12,381	0%
Yy change	11.5%	14.6%	17.1%	14.4%	13.5%	12.6%		11.8%	11.8%		10.4%	10.2%	
Yy change, constant ccy	11.0%	13.6%	15.9%	13.4%	13.6%	13.2%		11.8%	11.9%		10.7%	10.8%	
Yy change, constant ccy and scope	10.8%	13.1%	15.4%	11.9%	12.6%			10.8%			9.7%		
Adj. Operating Income	7,113	7,510	7,631	7,755	8,157	8,056	1%	8,401	8,400	0%	8,390	8,445	-1%
margin	66.3%	68.9%	68.0%	66.7%	67.0%	66.7%		68.9%	68.9%		67.7%	68.2%	
Yy change	10.7%	13.9%	17.0%	13.0%	14.7%	13.3%		11.9%	11.9%		10.0%	10.7%	
Adj. Non-operating income	87	(15)	(84)	(13)	(51)	(64)		(66)	(37)		(75)	(35)	
Adj. PBT	7,200	7,495	7,547	7,742	8,106	7,982	2%	8,335	8,362	0%	8,315	8,406	-1%
Adj. Net income	5,803	6,124	6,342	6,296	6,559	6,474	1%	6,797	6,786	0%	6,789	6,831	-1%
Yy change	7.0%	12.1%	16.5%	7.9%	13.0%	11.6%		11.0%	10.8%		7.0%	7.7%	
Adj. EPS, diluted	2.98	3.17	3.31	3.32	3.48	3.44	1%	3.63	3.63	0%	3.65	3.68	-1%
Yy change	10.2%	15.1%	20.1%	11.4%	16.6%	15.1%		14.6%	14.5%		10.4%	11.1%	
GAAP EPS	2.62	3.03	3.15	2.97	3.03	3.39		3.18	3.58		3.21	3.63	

Sources: Visa, Bloomberg consensus, BNP Paribas Equity Research estimates

Figure 8: We believe V can beat sellside expectations in FY27 but will struggle to deliver >12% net revenue growth and surprise buysiders

Visa – detail of our FY forecasts

	FY25 Actual	FY26e NEW	FY27e NEW	FY28e NEW	FY26 OLD	FY27 OLD	FY26 Diff.	FY27 Diff.	FY26 Cons.	FY27 Cons.	FY28 Cons.	FY26 Diff.	FY27 Diff.	FY28 Diff.
OPERATING KPIS														
Total Payment Volume, USDbn	14,211	15,672	16,962	18,388	15,674	16,965	0%	0%	15,644	16,914	18,222	0%	0%	1%
Yy change at current FX	7.8%	10.3%	8.2%	8.4%	10.3%	8.2%			10.1%	8.1%	7.7%			
Yy change, local ccy														
World Payment Volumes	8.4%	9.0%	8.4%	8.4%	9.0%	8.4%			9%	8%	8%			
> US Credit									9%	7%	5%			
> US Debit									7%	7%	6%			
> Total US	6.9%	8.5%	7.5%	7.5%	8.5%	7.5%			9%	7%	7%			
> Total Europe	11.2%	10.9%	10.0%	9.0%	10.9%	10.0%			9%	7%	7%			
> x-border volumes ex-intra-europe, local ccy	13.0%	11.6%	11.0%	11.0%	11.6%	11.0%			12.2%	11.3%	11.1%			
No of processed transactions, m	257,545	281,462	308,228	338,725	281,462	308,228	0%	0%	281,083	306,389	332,487	0%	1%	2%
Yy change	10.2%	9.3%	9.5%	9.9%	9.3%	9.5%			9%	9%	9%			
	FY25 Actual	FY26e NEW	FY27e NEW	FY28e NEW	FY26e OLD	FY27e OLD	FY26 Diff.	FY27 Diff.	FY26 Cons.	FY27 Cons.	FY28 Cons.	FY26 Diff.	FY27 Diff.	FY28 Diff.
INCOME STATEMENT														
Service	17,539	19,991	22,206	24,445	19,991	22,114	0%	0%	19,836	21,702	23,770	1%	2%	3%
Yy change	8.8%	14.0%	11.1%	10.1%	14.0%	10.6%			13%	9%	10%			
Data processing	19,993	23,446	27,142	31,021	23,446	27,023	0%	0%	23,276	25,877	28,751	1%	5%	8%
Yy change	12.9%	17.3%	15.8%	14.3%	17.3%	15.3%			16%	11%	11%			
Int'l transaction	14,166	15,095	16,247	18,014	15,097	16,249	0%	0%	15,257	16,922	18,689	-1%	-4%	-4%
Yy change	11.9%	6.6%	7.6%	10.9%	6.6%	7.6%			8%	11%	10%			
Other	4,053	5,618	6,866	8,583	5,618	6,686	0%	3%	5,593	6,712	8,004	0%	2%	7%
Yy change	26.8%	38.6%	22.2%	25.0%	38.6%	19.0%			38%	20%	19%			
Total gross revenue	55,751	64,150	72,461	82,063	64,151	72,071	0%	1%	63,954	71,268	79,175	0%	2%	4%
Yy change	12.2%	15.1%	13.0%	13.3%	15.1%	12.3%			15%	11%	11%			
Client incentives	(15,751)	(18,214)	(20,882)	(24,127)	(18,197)	(20,866)	0%	0%	(18,150)	(20,496)	(23,148)	0%	2%	4%
as % of gross revenues	28.3%	28.4%	28.8%	29.4%	28.4%	29.0%			28.4%	28.8%	29.2%			
Yy change	14.4%	15.6%	14.6%	15.5%	15.5%	14.7%			15.2%	12.9%	12.9%			
Total net revenues	40,000	45,936	51,579	57,937	45,954	51,205	0%	1%	45,767	50,701	55,997	0%	2%	3%
Yy change	11.3%	14.8%	12.3%	12.3%	14.9%	11.4%			14.4%	10.8%	10.4%			
Yy change, constant ccy	12.0%	14.1%	12.5%	12.3%	14.1%	11.6%								
Yy change, constant ccy and scope	11.8%	13.2%	11.7%	12.3%	13.2%	10.6%								
Adj. Operating Income	27,094	31,053	34,913	39,366	31,041	34,679	0%	1%	30,831	34,390	38,084	1%	2%	3%
margin	67.7%	67.6%	67.7%	67.9%	67.5%	67.7%			67.4%	67.8%	68.0%			
Yy change	11.4%	14.6%	12.4%	12.8%	14.6%	11.7%			13.8%	11.5%	10.7%			
Adj. Non-operating income	287	(159)	(300)	(152)	(159)	(300)			(151)	(149)	(134)			
Adj. PBT	27,381	30,894	34,613	39,214	30,882	34,379	0%	1%	30,738	34,147	37,824	1%	1%	4%
Adj. Net income	22,542	25,321	28,263	32,013	25,308	28,056	0%	1%	25,195	27,810	30,764	0%	2%	4%
Yy change	10.6%	12.3%	11.6%	13.3%	12.3%	10.9%			12%	10%	11%			
Adj. EPS, diluted	11.47	13.27	15.26	17.77	13.26	15.15	0%	1%	13.21	14.99	17.02	0%	2%	4%
Yy change	14.1%	15.7%	15.0%	16.4%	15.7%	14.2%			15.2%	13.5%	13.5%			
GAAP EPS	10.21	12.37	14.95	17.62	12.37	14.89	0%	0%	12.64	14.85	16.94			

Sources: Visa, Bloomberg consensus, BNP Paribas Equity Research estimates

Figure 9: We expect Mastercard to deliver improved net revenue growth over the next three quarters and to surprise sellside consensus positively

Mastercard – detail of our quarterly forecasts

	3Q 25 Actual	4Q 25 Actual	1Q 26 Actual	2Q 26 Actual	3Q 26 BNPP	3Q 26 Cons.	Diff.	4Q 26 BNPP	4Q 26 Cons.	Diff.	1Q 27 BNPP	1Q 27 Cons.	Diff.
INCOME STATEMENT													
Domestic assessments	2,809	2,773	2,896	3,154	3,163	3,141	0.7%	3,087	3,087	0.0%	3,161	3,158	0.1%
Yy change	6.4%	9.3%	9.0%	13.1%	12.6%	11.8%		11.3%	11.3%		9.2%	19.6%	
Yy change, ccy-neutral	6.0%	8.0%	6.0%	10.0%									
Cross-border assessments	3,313	3,265	3,190	3,460	3,916	3,826	2.4%	3,790	3,734	1.5%	3,686	3,565	3.4%
Yy change	18.2%	20.7%	22.9%	21.5%	18.2%	15.5%		16.1%	14.4%		15.6%	27.1%	
Yy change, ccy-neutral	16.0%	17.0%	18.0%	20.0%									
Transaction processing assessment	4,191	4,241	4,224	4,508	4,832	4,672	3.4%	4,937	4,730	4.4%	4,737	4,649	1.9%
Yy change	16.8%	17.6%	19.8%	13.5%	15.3%	11.5%		16.4%	11.5%		12.2%	29.6%	
Yy change, ccy-neutral	15.0%	14.0%	15.0%	12.0%									
Other network assessments	255	272	277	326	301	290	3.8%	321	304	5.7%	321	300	7.2%
Yy change	12.3%	13.8%	19.9%	25.4%	18.0%	13.7%		18.0%	11.6%		16.0%	32.0%	
Yy change, ccy-neutral	12.0%	12.0%	18.0%	25.0%									
Payment Network gross revenues	10,568	10,551	10,587	11,448	12,212	11,933	2.3%	12,135	11,858	2.3%	11,906	11,685	1.9%
Yy change	14.1%	16.1%	17.5%	16.0%	15.6%	12.9%		13.3%	12.4%		14.8%	26.2%	
Rebates and Incentives - PN	(5,389)	(5,631)	(5,639)	(5,997)	(6,497)	(6,300)	3.1%	(6,674)	(6,417)	4.0%	(6,513)	(6,287)	3.6%
% of gross revenues	51.0%	53.4%	53.3%	52.4%	53.2%	52.8%		55.0%	54.1%		54.7%	53.8%	
Payment Network net revenues	5,179	4,920	4,948	5,451	5,715	5,620	1.7%	5,461	5,430	0.6%	5,393	5,418	(0.4%)
yy chge	11.9%	11.5%	11.6%	10.2%	10.3%	8.5%		11.0%	10.4%		9.0%	17.0%	
Yy change, ccy-neutral	10.0%	9.0%	8.0%	8.0%	10.5%			11.2%			9.9%		
VASS net revenues	3,423	3,886	3,450	3,826	4,068	4,028	1.0%	4,639	4,525	2.5%	4,116	4,029	2.2%
yy chge	24.9%	24.2%	21.6%	19.3%	18.8%	17.7%		19.4%	16.4%		19.3%	47.0%	
Yy change, ccy-neutral	22.0%	22.0%	18.0%	18.0%	19.0%			19.5%			20.0%		
Group net revenues	8,602	8,806	8,398	9,277	9,783	9,654	1.3%	10,100	9,959	1.4%	9,510	9,445	0.7%
yy chge	16.7%	17.6%	15.8%	14.1%	13.7%	12.2%		14.7%	13.1%		13.2%	28.2%	
Yy change, ccy-neutral	15.0%	15.0%	12.0%	12.0%	13.9%			14.8%			14.0%		
Yy change, ccy-neutral ex-M&A	14.0%	13.8%	12.0%	12.0%	13.9%			14.8%			14.0%		
Non-GAAP OPEX	(3,458)	(3,721)	(3,289)	(3,608)	(3,803)	(3,852)		(4,087)	(4,187)		(3,640)	(3,763)	
yy chge	15%	14%	11%	11%	10%	11.4%		10%	12.5%		11%	25.5%	
Yy change, ccy-neutral	14%	12%	9%	10%	10%			10%			11%		
Yy change, ccy-neutral ex-M&A	10%	7%	9%	10%	11%			10%			12%		
Adj. Operating Income margin	5,144	5,085	5,109	5,669	5,980	5,802	3.1%	6,013	5,772	4.2%	5,869	5,682	3.3%
margin	59.8%	57.7%	60.8%	61.1%	61.1%	60.1%		59.5%	58.0%		61.7%	60.2%	
Yy change	17.7%	20.6%	18.8%	16.3%	16.2%	12.8%		18.2%	13.5%		14.9%	30.0%	
Adj. Net income	3,961	4,278	4,103	4,453	4,685	4,512	3.8%	4,653	4,497	3.5%	4,540	4,436	2.3%
Yy change	10.2%	21.8%	20.5%	18.1%	18.3%	13.9%		8.8%	5.1%		10.6%	43.4%	
Adj EPS, diluted	4.38	4.76	4.60	5.04	5.36	5.15	4.0%	5.38	5.17	4.0%	5.30	5.15	2.9%
Yy change	12.7%	24.6%	23.3%	21.6%	22.4%	17.7%		12.9%	8.5%		15.3%	55.6%	

Sources: Mastercard, Bloomberg consensus, BNP Paribas Equity Research estimates

Figure 10: We expect Mastercard to grow I/I revenue by c14% in 2027

Mastercard – detail of our FY forecasts

	FY 25 Actual	FY 26 NEW	FY 27 NEW	FY 28 NEW	FY 26 OLD	FY 27 OLD	FY 26 Diff.	FY 27 Diff.	FY 26 Cons.	FY 27 Cons.	FY 28 Cons.	FY 26 Diff.	FY 27 Diff.	FY 28 Diff.
INCOME STATEMENT														
Domestic assessments	11,029	12,300	13,396	14,505	12,290	13,214	0%	1%	12,047	13,352	14,460	2%	0%	0%
Yy change	7.7%	11.5%	8.9%	8.3%	11.4%	7.5%			9.2%	10.8%	8.3%			
Yy change, ccy-neutral														
Cross-border assessments	12,021	14,357	16,592	19,290	14,340	16,502	0%	1%	14,210	15,963	18,123	1%	4%	6%
Yy change	18.1%	19.4%	15.6%	16.3%	19.3%	15.1%			18.2%	12.3%	13.5%			
Yy change, ccy-neutral														
Transaction processing assessment	15,930	18,501	21,025	24,113	18,501	21,506	-	(2%)	17,760	20,193	22,513	4%	4%	7%
Yy change	17.1%	16.1%	13.6%	14.7%	16.1%	16.2%			11.5%	13.7%	11.5%			
Yy change, ccy-neutral														
Other network assessments	1,018	1,225	1,424	1,623	1,222	1,393	0%	2%	1,175	1,295	1,406	4%	10%	15%
Yy change	8.8%	20.3%	16.2%	14.0%	20.1%	14.0%			15.4%	10.3%	8.6%			
Yy change, ccy-neutral														
Payment Network gross revenues	39,998	46,382	52,437	59,531	46,353	52,615	0%	(0%)	44,883	50,830	56,495	3%	3%	5%
Yy change	14.4%	16.0%	13.1%	13.5%	15.9%	13.5%			12.2%	13.2%	11.1%			
Rebates and Incentives - PN	(20,522)	(24,807)	(28,745)	(33,695)	(24,743)	(28,991)	0%	(1%)	(24,314)	(27,380)	(30,942)	2%	5%	9%
% of gross revenues	51.3%	53.5%	54.8%	56.6%	53.4%	55.1%			54.2%	53.9%	54.6%			
Payment Network net revenues	19,476	21,575	23,691	25,837	21,610	23,624	(0%)	0%	21,546	23,635	25,829	0%	0%	0%
Yy chge	12.4%	10.8%	9.8%	9.1%	11.0%	9.3%			10.6%	9.7%	9.3%			
Yy change, ccy-neutral	12.0%	9.4%	10.2%	9.1%	9.7%	9.3%								
VASS net revenues	13,315	15,983	18,996	22,415	15,807	18,652	1%	2%	15,818	18,512	21,381	1%	3%	5%
Yy chge	21.2%	19.8%	18.8%	18.0%	18.5%	18.0%			18.8%	17.0%	15.5%			
Yy change, ccy-neutral	21.0%	18.7%	19.2%	18.0%	17.5%	18.0%								
Group net revenues	32,791	37,558	42,687	48,252	37,417	42,277	0%	1%	37,270	41,981	46,998	1%	2%	3%
Yy chge	16.4%	14.5%	13.7%	13.0%	14.1%	13.0%			13.7%	12.6%	12.0%			
Yy change, ccy-neutral	15.0%	13.2%	14.0%	13.0%	12.8%	13.0%								
Yy change, ccy-neutral ex-M&A	14.0%	13.2%	14.0%	13.0%	12.8%	13.0%								
Non-GAAP OPEX	(13,389)	(14,787)	(16,366)	(18,071)	(14,953)	(16,735)			(14,953)	(16,761)	(18,510)			
Yy chge	14.3%	10.4%	10.7%	10.4%	11.7%	11.9%			11.7%	12.1%	10.4%			
Yy change, ccy-neutral	14%	10%	11%	10%	11%	12%								
Yy change, ccy-neutral ex-M&A	10%	10%	11%	10%	11%	12%								
Adj. Operating Income margin	19,402	22,771	26,322	30,181	22,465	25,542	1%	3%	22,317	25,220	28,488	2%	4%	6%
Yy change	59.2%	60.6%	61.7%	62.5%	60.0%	60.4%			59.9%	60.1%	60.6%			
Yy change	17.9%	17.4%	15.6%	14.7%	15.8%	13.7%			15.0%	13.0%	13.0%			
Adj. Net income	15,414	17,894	20,410	23,600	17,651	19,876	1%	3%	17,537	19,743	22,330	2%	3%	6%
Yy change	13.8%	16.1%	14.1%	15.6%	14.5%	12.6%			13.8%	12.6%	13.1%			
Adj EPS, diluted	17.01	20.12	23.57	28.19	19.84	22.89	1%	3%	19.91	23.05	26.83	1%	2%	5%
Yy change	16.5%	18.3%	17.2%	19.6%	16.6%	15.4%			17.0%	15.8%	16.4%			

Sources: Mastercard, Bloomberg consensus, BNP Paribas Equity Research estimates

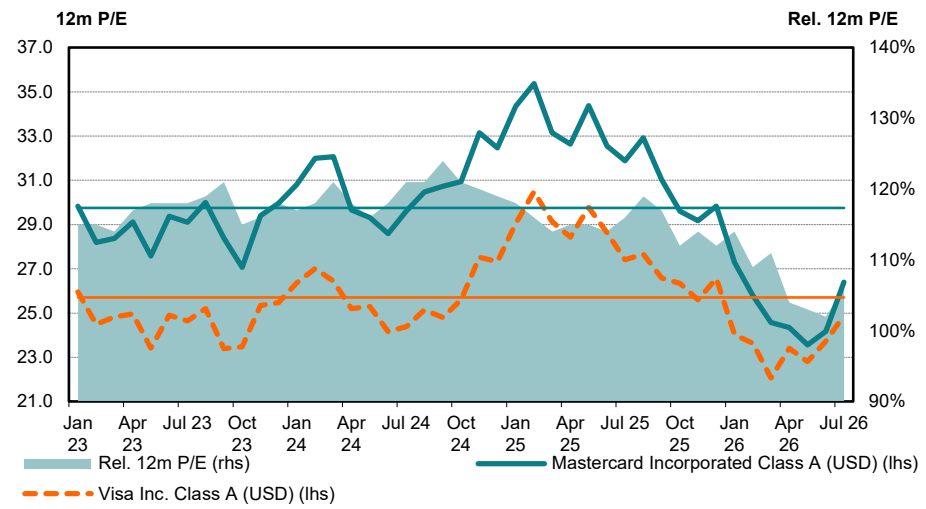
We value Mastercard on 1.75x mid-term PEG – implying c31.5x 12m-fwd PE – and raise our TP by 5% to \$713 (from \$680).

We value Visa on 1.7x mid-term PEG – implying c28x 12m-fwd PE – and leave our TP broadly unchanged (+1%) at \$425.

We highlight that at our target prices, Mastercard would trade at a c3.5x turn premium to Visa, consistent with levels seen over Sep-25 to Jan-26 and yet not quite as pronounced as CY24 premium (c5x) when Mastercard outgrew V by c2pts. Although we do expect MA to outgrow V by that magnitude in 2027, we believe V's underlying algo has improved and 2027 reflects particularly tough comps and as such we do not expect MA's historical premium to fully rebuild.

Figure 11: Visa has now re-rated close to its last few years' average 12m-fwd PE whilst Mastercard is still lagging

Mastercard Incorporated Class A (USD) vs Visa Inc. Class A (USD)



Source: BNP Paribas, Factset Estimates

Investment case, valuation and risks

Mastercard (Outperform, Target Price USD713)

Investment case

Mastercard's business drivers seem to be well in place, in particular Value-Added Services and Cross-border. Whilst we acknowledge some idiosyncratic risks - e.g. potential renewals in Europe and the UK, sovereignty concerns in Europe, etc - and some macro risk, we believe that, on the whole, following the consistent de-rating of the name in the last 12-18m, the shares now offer an attractive risk/reward profile. Outperform.

Valuation methodology

We value Mastercard on c1.75x MT PEG.

Risks

To the upside:

1) sustained appetite for cross-border travel; 2) improved consumer confidence; 3) recent deal wins ramping up; 4) moderation in commercial aggressiveness.

To the downside:

1) consumer squeeze; 2) macro impacting demand for VASS; 3) intensifying competition with Visa; 4) alternative payment systems weighing on volume growth in Europe and Latam; 5) regulation.

Visa (Outperform, Target Price USD425)

Investment case

We see discipline in incentives, stabilizing to improving FX volatility, continued momentum in value-added services, and pricing supporting growth over the short to medium term.

Further out, revenue growth might slow as cash digitisation runs out. We note that Visa has de-rated by c10% vs. pre-COVID already. We find Visa's valuation compares favourably to that of peers running the same risk of LT growth slowing from ldd to m/hsd. We rate the stock Outperform.

Valuation methodology

We value Visa on c1.7x MT PEG.

Risks

To the upside:

1) sustained appetite for cross-border travel; 2) improved consumer confidence; 3) price hikes; 4) accelerated traction of Visa Direct; 5) continued momentum in Value-Added Services; 6) early success of B2B Connect.

To the downside:

1) market saturation; 2) insufficient diversification; 3) consumer squeeze; 4) alternative payment systems weighing on volume growth in Europe and Latam; 5) regulation.

ANALYST CERTIFICATION AND IMPORTANT DISCLOSURES

Analyst Certification

I, **Alexandre Faure**, hereby certify that all of the views expressed in this report accurately reflect my personal view(s) about the company or companies and securities discussed in this report. No part of my compensation was, is, or will be, directly, or indirectly, related to the specific recommendations or views expressed in this research report.

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Alexandre Faure BNP Paribas SA

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/	

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Deutsche Bank US	DB US	6; 7; 9; 10
Fidelity National Inf Svc	FIS US	/
Fiserv	FISV US	/
Global Payments	GPN US	/
Klarna Group	KLAR US	2; 3; 4; 7; 8- BNP Paribas Securities Corp serves as co-manager to Klarna Group plc in connection to the company's IPO.; 9
Mastercard	MA US	/
Natwest Group ADR	NWG US	6; 11- Net long position
Natwest Group PLC	NWG LN	6
Nexi	NEXI IM	1; 6; 7; 10
PayPal	PYPL US	2; 3; 4; 7; 8; 9; 10
Visa	V US	/
Wise Group PLC	WISE LN	1; 6
Wise Group US	WSE US	6

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13 – Sections of this report, with the research summary, target price and rating removed, have been presented to the subject company/ies prior to its distribution, for the sole purpose of verifying the accuracy of factual statements.

14 – Following the presentation of sections of this report to the subject company/ies, some conclusions were amended.

15 – A member of BNPP Equity Research is an officer or a member of the Board of the subject company/ies.

16 – The subject company/ies hold(s) more than 5% of the total issued share capital of BNPP.

17 – BNP Paribas Securities (China) Limited owns 1% or more of the outstanding shares issued by the subject company.

Explanation of Research Ratings

Rating System

Our coverage analysts use a rating system in which they rate stocks as Outperform, Neutral, or Underperform (as defined below) relative to other companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Outperform (O/P): The stock is expected to outperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Neutral: The stock is expected to perform in line with the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Underperform (U/P): The stock is expected to underperform the average total return of all companies covered by the analyst or the analyst's team, over a 12-month investment horizon.

Under review: The rating of the stock has been placed under review after significant news. Any possible change will be confirmed as soon as possible in the form of a new broadly disseminated report.

Restricted (RS): The stock is covered by BNPP but there is no Rating and no Target Price because BNPP is involved in an equity capital market/ merger and acquisition transaction relating to the subject company.

Not Rated (NR): The stock is covered by BNPP but there is no Rating and no Target Price at this time.

Not Covered (NC): BNPP does not cover this company

As of 23 September 2024, TEB Investment has changed the recommendation rating structure for Turkish stock coverage from Buy, Hold and Reduce to Outperform, Neutral and Underperform. Ratings and target prices for dates prior to 23 September 2024 used an absolute rating structure whereby the upside or downside to target price relative to the current share price determined the recommendation. TEB Investment now uses a relative recommendation structure whereby the applied rating is based on the stock's expected performance as compared to the average total return of all companies covered by the analyst or the analyst's team in Turkish stock coverage over a 12-month investment horizon. TEB Investment research reports with ratings and target prices for dates prior to 11 August 2025 were prepared and distributed without involvement of a FINRA member firm.

ESG Rating Explanation and Methodology

ESG integration methodology: The BNP Paribas approach offers an alternative to mechanistic ESG scores and leverages the in-depth knowledge of our industry equity research teams by combining quantitative and qualitative factors. There are three steps to our framework; firstly, our teams build a materiality map to assess which ESG topics are most relevant to their respective industries. Secondly, for the chosen topics, companies are assessed relative to sector peers. The assessment can be based on metrics and qualitative judgements. Each company is given a one to five score per topic, with five being the best. Thirdly, based on the topic scores, and any other significant ESG factors, we identify companies in the sector as ESG Leaders, ESG Laggards or ESG Average. The definition of the ratings is shown below; they are not based on the average topic score as some topic scores can be more material than others.

ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

ESG Laggard: Relative to sector peers an ESG Laggard is poorly positioned on the chosen ESG topics, or other relevant ESG considerations for the stock.

Distribution of BNP Paribas' Equity Recommendations

As at 28 May 2026 BNP Paribas covered 1377 companies. The companies that, for regulatory reasons, are not accorded a rating by BNPP are excluded from these statistics. For regulatory reasons, our ratings of Outperform, Neutral and Underperform correspond respectively to Buy, Hold and Sell; the underlying signification is, however, different as our ratings are relative to the sector.

Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	698	51	168	24
Neutral (Hold)	485	35	107	22
Underperform (Sell)	194	14	39	20

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

Sustainability is core to BNP Paribas' company purpose: "we are engaged with our clients to create a better future".

In line with the United Nations Sustainable Development Goals, the BNP Paribas Group has thus pledged to act as a catalyst in the energy transition, and to contribute to a responsible and sustainable economy. As a bank, we are required to finance a number of industries, some of which can pose major environmental, social and governance (ESG) challenges. That's why, since 2010, BNP Paribas has adopted and regularly reviewed sector policies laying down strict ESG criteria meant to govern our financing and investments in these sensitive areas. They aim to support our customers in their transitions towards sustainable practices. For more details, please refer to: Financing and investment policies - BNP Paribas (<https://group.bnpparibas/en/our-commitments/transitions/financing-and-investment-policies>).

Price and Ratings Chart

Mastercard

Historical Closing Price & Target Price (closing price as of 06/08/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
07 Aug 2026 (2)	+	USD713.00	USD575.95	TP up	A. Faure
31 Jul. 2026 06:31	+	USD680.00	USD573.10	TP up	A. Faure
21 Jul. 2026 05:22	+	USD615.00	USD538.30	TP up	A. Faure, T. Poutrieux
19 Mar. 2026 05:21	+	USD600.00	USD488.47	Rating up	A. Faure
29 Jan. 2026 19:20	=	USD600.00	USD543.73	TP down	A. Faure
18 Jul. 2025 05:53	=	USD625.00	USD552.66	TP up	A. Faure, T. Poutrieux
1 May 2025 21:19	=	USD575.00	USD546.63	TP up	A. Faure
31 Jan. 2025 16:48	=	USD570.00	USD555.43	TP up	A. Faure
20 Nov. 2024 06:14	=	USD507.00	USD512.54	TP up	A. Faure, T. Poutrieux
3 Sep. 2024 06:07	=	USD470.00	USD483.34	Rating down, TP down	A. Faure
25 Jul. 2024 16:07	+	USD480.00	USD429.60	TP down	A. Faure
1 Feb. 2024 17:36	+	USD500.00	USD460.92	TP up	A. Faure
10 Jan. 2024 05:50	+	USD485.00	USD428.27	TP up	A. Faure, T. Poutrieux
31 Oct. 2023 17:58	+	USD430.00	USD376.35	TP down	A. Faure

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to [Cube](#) for the dissemination time of this report.

Note:

- The closing price is based on the market close price on the last business close date.
- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
- All ratings and target prices are valid for 12 months.

Visa

Historical Closing Price & Target Price (closing price as of 06/08/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time) (2)		Rating (1)	Target Price	Closing Price	● Key Changes	Person(s) Involved
07 Aug 2026	(2)	+	USD425.00	USD370.47	TP up	A. Faure
29 Jul. 2026	17:04	+	USD420.00	USD368.73	TP up	A. Faure
21 Jul. 2026	05:22	+	USD410.00	USD355.82	TP up	A. Faure, T. Poutrieux
30 Jan. 2026	15:09	+	USD400.00	USD321.83	TP down	A. Faure
18 Jul. 2025	05:53	+	USD420.00	USD349.05	TP up	A. Faure, T. Poutrieux
31 Jan. 2025	16:48	+	USD370.00	USD341.80	TP up	A. Faure
20 Nov. 2024	06:14	+	USD350.00	USD307.39	TP up	A. Faure, T. Poutrieux
3 Sep. 2024	06:07	+	USD325.00	USD276.37	Rating up, TP up	A. Faure
24 Jul. 2024	18:49	=	USD250.00	USD254.17	TP down	A. Faure
29 Apr. 2024	12:22	=	USD265.00	USD271.84	TP down	A. Faure
11 Apr. 2024	07:02	=	USD268.00	USD275.68	TP down	A. Faure, T. Poutrieux
1 Feb. 2024	11:56	=	USD270.00	USD277.05	TP up	A. Faure
10 Jan. 2024	05:50	=	USD255.00	USD264.56	TP up	A. Faure, T. Poutrieux

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

(2) Please refer to [Cube](#) for the dissemination time of this report.

Note:

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- Closing prices and target prices have been adjusted to take into account stock splits or corporate actions where applicable.
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For policies for managing conflicts of interest in relation to investment research, go to [COI_investement_research.pdf \(cib.bnpparibas\)](#).

The company-specific disclosures, history of recommendations, valuation methodologies and investment case risks for companies covered by this report are available on <https://cube.cib.bnpparibas/slink/sk6EkeZqEusdcNPQ>.

For material information about the proprietary models used, please see summary of financials in company-specific research reports and the relevant company page on <https://cube.cib.bnpparibas>.

BNP Paribas does not set a predetermined frequency for publication and intends to update research reports as it deems appropriate, based on developments affecting the subject company, the sector or the market.

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MASTERCARD (Outperform)

Price at 6 Aug. 26 / Target Price

Payment Services - USA

USD576.0 / USD713 +24%

Company description

Mastercard's history begins with the creation of the Interbank Card Association (ICA) in 1966, a membership association started initially by four US banks to organise their own network and accept one another's credit cards. Mastercard took a stronger footing in Europe in 2002 with the acquisition of regional provider Eurocard. Mastercard IPOed in 2006. Over the last decade, Mastercard has used M&A to grow in services and value-added features (online gateway, fraud prevention, silent auth, Open Banking), build a presence in ACH infrastructure (Vocalink, Nets Corporate Services), and accelerate the development of Bill payment and Remittances.

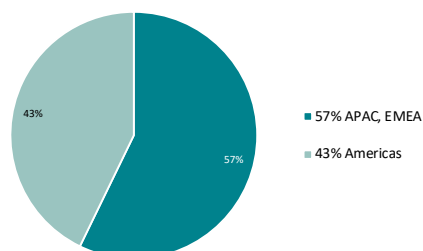
Management

Michael Mebach, CEO
Ajay Banga, Chairman of the Board of Directors
Sachin Mehra, CFO

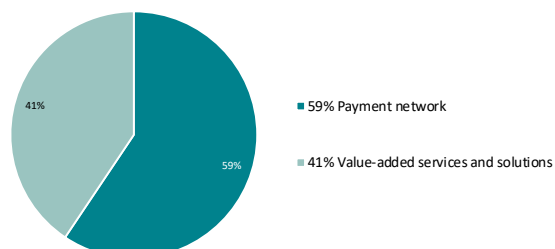
Ownership structure

MasterCard Foundation	11.0%
The Vanguard Group	7.4%
Blackrock	4.4%
State Street Global Advisors	3.7%
Fidelity Management & Research	3.6%
T Rowe Price	2.9%
Other Shareholders	67.0%

2025 Net revenue by region



2025 Net revenue by division



Analyst

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Peer group YTD performance

Stock	Price		YTD performance in EUR (%)	
	(06 Aug. 26)		Abs.	Rel. Sector
Nexi (=)	EUR	4.34	9.5	28
Wise Group US (+)	USD	12.4	7.8	26
Wise Group (+)	p	916	4.8	22
Block (+)	USD	79.0	23.6	18
Global Payments (-)	USD	87.7	15.9	11
Visa (+)	USD	370.5	7.9	3
PayPal (=)	USD	59.8	4.7	0.1
Mastercard (+)	USD	576.0	3.1	(1)
Bill (+)	USD	47.0	(12.3)	(16)
Adyen NV ADR (=)	USD	10.7		(20)
Adyen NV (=)	EUR	933.2	(32.1)	(21)
Fiserv (-)	USD	54.1	(18.0)	(22)
Klarna Group (=)	USD	20.3	(28.6)	(32)
FIS (-)	USD	42.8	(33.5)	(36)

Sector calendar

13 Aug. 26 **Adyen NV**: Q2 Results 2026
Adyen NV ADR: Q2 Results 2026
19 Aug. 26 **Bill**: Q4 Earnings 2026 (22:00 CET)

Price at 06 Aug. 26 / 12m Target Price

USD576.0 / USD713 +24%

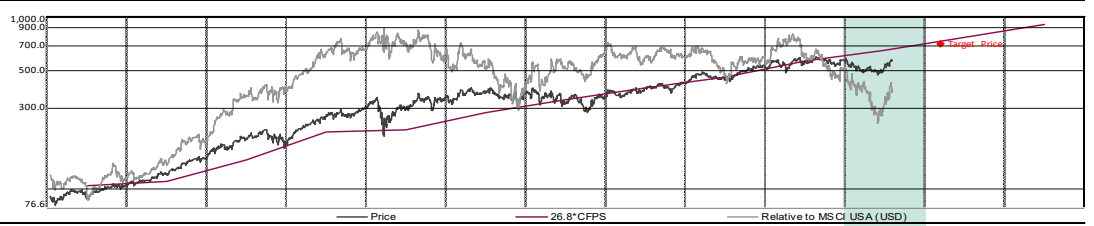
MASTERCARD (Outperform)

Refinitiv / Bloomberg: MAN / MAUS

Analyst: Alexandre Faure +33 1 42 99 52 38

Payment Services - USA

Company Highlights			
USDm / EURm			
Enterprise value	514,768 / 446,267		
Market capitalisation	503,265 / 436,296		
Free float	447,906 / 388,303		
3m average volume	1,836 / 1,592		
Performance (%)			
1m	3m	12m	
Absolute	8%	17%	2%
Rel. Sector	2%	1%	2%
Rel. MSCI USA	6%	12%	(17%)
12m Hi/Lo (USD) : 599 -4% / 471.6 +22%			
CAGR			
2008/2026	2026/2028		
EPS restated	19%	18%	
CFPS	NC	19%	



Price (yearly avg from Dec. 15 to Dec. 25)	92.7	95.9	127.4	191.7	256.2	309.5	357.6	341.0	385.5	474.1	557.9	576.0	576.0	576.0
PER SHARE DATA (USD)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
No of shares year end, basic, (m)	1 116.300	1 081.700	1 053.800	1 030.400	1 007.200	995.200	979.900	956.000	934.500	913.400	894.800	873.800	847.800	816.800
Avg no of shares, diluted, excl. treasury stocks (m)	1 137.500	1 100.500	1 071.750	1 046.750	1 022.250	1 006.000	992.000	971.000	946.000	927.000	906.000	889.300	865.800	837.300
EPS reported, Gaap	3.35	3.69	3.65	5.60	7.94	6.37	8.76	10.23	11.83	13.89	16.52	19.80	23.57	28.19
EPS company definition	3.43	3.77	4.58	6.49	7.76	6.42	8.40	10.65	12.27	14.61	17.01	20.12	23.57	28.19
EPS restated, fully diluted	3.45	3.79	4.63	6.56	7.85	6.52	8.59	10.85	12.47	14.82	17.28	20.39	23.85	28.47
% change	11.0%	9.7%	22.1%	41.6%	19.8%	(16.9%)	31.7%	26.3%	14.9%	18.9%	16.6%	18.0%	16.9%	19.4%
Book value (BVPS) (a)	5.4	5.2	5.2	5.2	5.9	6.4	7.5	6.6	7.4	7.1	8.6	11.2	12.5	13.6
Net dividend	0.38	0.82	0.94	1.16	1.46	1.68	1.86	2.12	2.46	2.84	3.27	3.79	4.54	5.47
STOCKMARKET RATIOS	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
P / E (P EPS restated)	26.8x	25.3x	27.5x	29.2x	32.6x	47.5x	41.6x	31.4x	30.9x	32.0x	32.3x	28.2x	24.2x	20.2x
148%	128%	124%	155%	164%	149%	208%	153%	120%	135%	127%	113%	123%	123%	118%
P / E relative to MSCI USA	26.0x	24.7x	30.8x	34.8x	31.9x	37.2x	34.2x	27.4x	26.2x	27.8x	26.5x	23.3x	19.7x	16.5x
FCF yield	2.8%	2.9%	2.7%	2.0%	2.2%	2.1%	2.4%	3.1%	3.0%	3.1%	3.3%	3.3%	4.1%	5.0%
P / BVPS	17.16x	18.34x	24.55x	36.61x	43.79x	48.19x	47.92x	51.76x	52.00x	66.78x	64.53x	51.52x	46.11x	42.20x
Net yield	0.4%	0.9%	0.7%	0.6%	0.6%	0.5%	0.5%	0.6%	0.6%	0.6%	0.6%	0.7%	0.8%	1.0%
Payout	11.0%	21.6%	20.3%	17.7%	18.6%	25.8%	21.7%	19.5%	19.7%	19.2%	18.9%	18.6%	19.0%	19.2%
EV / Sales	10.63x	9.57x	10.85x	13.41x	15.64x	20.57x	19.21x	15.33x	14.93x	16.06x	15.79x	13.71x	11.70x	9.98x
EV / Restated EBITDA	18.4x	16.5x	18.7x	22.6x	25.9x	36.0x	33.0x	25.4x	24.4x	25.9x	25.2x	21.5x	18.1x	15.3x
EV / Restated EBITA	19.6x	17.4x	19.7x	23.6x	27.0x	38.0x	34.6x	26.4x	25.4x	27.1x	26.3x	22.3x	18.8x	15.8x
EV / NOPAT	25.5x	24.3x	32.8x	29.0x	32.4x	46.1x	41.1x	31.2x	30.9x	32.1x	32.6x	27.9x	23.8x	20.0x
EV / OpFCF	25.4x	22.0x	23.5x	34.0x	34.6x	38.5x	34.1x	27.7x	27.1x	27.4x	25.1x	23.4x	19.2x	15.9x
EV / Capital employed (incl. gross goodwill)	34.4x	36.3x	30.7x	41.4x	31.3x	30.9x	24.4x	22.6x	23.5x	24.5x	27.8x	22.8x	18.6x	15.3x
ENTERPRISE VALUE (USDm)	102,772	103,135	135,582	200,525	263,969	314,739	362,788	340,797	374,751	452,269	517,652	514,768	499,599	481,493
Market cap	105,106	105,230	135,921	199,487	260,519	309,930	353,297	330,097	363,939	438,570	504,926	503,265	488,290	470,436
+ Adjusted net debt	(2,479)	(1,541)	(509)	(348)	1,539	2,559	6,480	7,015	7,093	9,784	8,434	7,210	7,017	6,766
+ Other liabilities and commitments	1,360	1,327	2,324	3,606	3,802	4,068	4,855	5,542	5,588	5,800	6,198	6,198	6,198	6,198
+ Revalued minority interests	34	28	29	23	24	97	71	58	46	30	9	9	9	9
- Revalued investments	1,249	1,909	2,183	2,243	1,915	1,915	1,915	1,915	1,915	1,915	1,915	1,915	1,915	1,915
P & L HIGHLIGHTS (USDm)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
Sales	9,667	10,776	12,497	14,950	16,883	15,301	18,884	22,237	25,098	28,167	32,791	37,558	42,687	48,252
Restated EBITDA (b)	5,584	6,250	7,241	8,869	10,186	8,734	10,984	13,437	15,345	17,494	20,573	23,986	27,585	31,508
Depreciation	(331)	(334)	(363)	(372)	(416)	(462)	(504)	(522)	(570)	(607)	(671)	(716)	(763)	(808)
Restated EBITA (b)	5,253	5,916	6,878	8,497	9,770	8,272	10,480	12,915	14,775	16,887	19,702	23,071	26,822	30,481
Reported operating profit (loss)	5,078	5,761	6,622	7,282	9,664	8,081	10,082	12,264	14,008	15,582	18,897	22,487	26,322	30,181
Net financial income (charges)	(120)	(115)	(100)	(78)	67	(321)	225	(532)	(369)	(328)	(319)	(443)	(487)	(307)
Affiliates														
Other														
Tax	(1,150)	(1,587)	(2,607)	(1,345)	(1,613)	(1,349)	(1,620)	(1,802)	(2,444)	(2,380)	(3,610)	(4,436)	(5,425)	(6,273)
Minorities	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net attributable profit reported	3,808	4,059	3,915	5,859	8,118	6,411	8,687	9,930	11,195	12,874	14,968	17,608	20,410	23,600
Net attributable profit restated (c)	3,930	4,171	4,962	6,862	8,026	6,561	8,520	10,535	11,794	13,738	15,656	18,134	20,647	23,837
CASH FLOW HIGHLIGHTS (USDm)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
EBITDA (reported)	5,444	6,133	7,059	7,741	10,186	8,661	10,808	13,014	14,806	16,624	20,068	23,702	27,585	31,508
EBITDA adjustment (b)	140	117	182	1,128	0	73	176	423	539	870	505	284	0	0
Other items	(382)	(319)	(774)	(1,159)	(123)	1,300	1,381	864	1,511	1,255	2,740	3,129	3,929	4,707
Change in WCR	(820)	(867)	(286)	(1,313)	(1,698)	(1,150)	(916)	(904)	(1,943)	(1,040)	(1,442)	(3,754)	(4,008)	(4,179)
Operating cash flow	4,382	5,064	6,181	6,397	8,365	8,884	11,449	13,397	14,913	17,709	21,872	23,362	27,506	32,037
Capex	(342)	(382)	(423)	(504)	(728)	(708)	(814)	(1,097)	(1,088)	(1,194)	(1,215)	(1,395)	(1,543)	(1,696)
Operating free cash flow (OpFCF)	4,040	4,682	5,758	5,893	7,637	8,176	10,635	12,300	13,825	16,515	20,657	21,967	25,964	30,341
Net financial items + tax paid	(1,141)	(1,653)	(2,028)	(1,943)	(1,843)	(1,660)	(1,986)	(2,202)	(2,933)	(2,929)	(4,224)	(5,168)	(6,180)	(7,049)
Free cash flow	2,899	3,029	3,730	3,950	5,794	6,516	8,649	10,098	10,892	13,586	16,433	16,799	19,783	23,293
Net financial investments & acquisitions	(373)	(785)	(1,356)	(2)	(912)	(1,171)	(4,458)	(373)	(263)	(2,208)	(147)	0	0	0
Other	555	1,166	1,298	1,868	311	(376)	(388)	398	478	(571)	(526)	0	0	0
Capital increase (decrease)	(3,518)	(3,511)	(3,762)	(4,933)	(6,497)	(4,473)	(5,904)	(8,753)	(9,032)	(11,035)	(11,727)	(12,420)	(15,960)	(18,810)
Dividends paid	(727)	(837)	(942)	(1,044)	(1,345)	(1,605)	(1,741)	(1,903)	(2,158)	(2,448)	(2,756)	(3,155)	(3,630)	(4,231)
Increase (decrease) in net financial debt	1,164	938	1,032	161	2,649	1,109	3,842	533	83	2,676	(1,277)	(1,224)	(194)	(251)
Cash flow, group share	4,061	4,278	4,439	5,767	8,220	8,374	10,379	12,099	13,923	15,820	19,090	21,948	25,334	29,167
BALANCE SHEET HIGHLIGHTS (USDm)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
Net operating assets	3,369	3,211	4,984	4,816	7,266	8,615	13,240	13,387	13,807	16,784	17,417	17,596	17,876	18,244
WCR	(384)	(372)	(564)	26	1,163	1,583	1,614	1,663	2,162	1,648	1,185	4,939	8,947	13,126
Restated capital employed, incl. gross goodwill	2,985	2,839	4,420	4,842	8,429	10,198	14,854	15,050	15,969	18,432	18,602	22,535	26,823	31,369
Shareholders' funds, group share	6,028	5,656	5,468	5,395	5,893	6,391	7,312	6,298	6,929	6,485	7,737	9,769	10,589	11,148
Minorities	34	28	29	23	24	97	71	58	46	30	9	9	9	9
Provisions / Other liabilities	651	605	1,615	2,015	2,126	2,375	3,243	3,678	4,090	4,110	4,565	7,690	11,351	15,590
Net financial debt (cash)	(2,479)	(1,541)	(509)	(348)	2,301	3,410	7,252	7,785	7,868	10,544	9,267	8,043	7,850	7,599
FINANCIAL RATIOS (%)	Dec. 15	Dec. 16	Dec. 17	Dec. 18	Dec. 19	Dec. 20	Dec. 21	Dec. 22	Dec. 23	Dec. 24	Dec. 25	Dec. 26e	Dec. 27e	Dec. 28e
Sales (% change)	2.0%	11.5%	16.0%	19.6%	12.9%	(9.4%)	23.4%	17.8%	12.9%	12.2%	16.4%	14.5%	13.7%	13.0%
Organic sales growth	6.0%	13.5%	13.0%	15.1%	14.9%	(9.4%)	20.0%	22.0%	13.0%	13.0%	14.0%	13.2%	14.0%	13.0%
Restated EBITA (% change)	2.3%	12.6%	16.3%	23.5%	15.0%	(15.3%)	26.7%	23.2%	14.4%	12.9%	18.1%	17.1%	15.4%	14.5%
Restated attributable net profit (% change)	8.0%	6.1%	19.0%	38.3%	17.0%	(18.3%)	29.9%	23.7%	12.0%	16.5%	14.0%	15.8%	13.9%	15.5%
Personnel costs / Sales	21.8%	20.6%	21.5%	21.5%	21.0%	24.8%	23.8%	23.7%	24.0%	23.7%	NC	NC	NC	NC
Restated EBITDA margin	57.8%	58.0%	57.9%	59.3%	60.3%	57.1%	58.2%	60.4%	61.1%	62.1%	62.7%	63.9%	64.6%	65.3%
Restated EBITA margin	54.3%	54.9%	55.0%	56.8%	57.9%	54.1%	55.5%	58.1%	58.9%	59.2%	60.1%	61.4%	62.4%	63.2%
Tax rate	23.2%	28.1%	40.0%	18.7%	16.6%	17.4%	15.7%	15.4%	17.9%	15.6%	19.4%	20.1%	21.0%	21.0%
Net margin	40.7%	38.7%	39.7%	45.9%	47.5%	42.9%	45.1%	47.4%	47.0%	48.8%	47.7%	48.3%	48.4%	49.4%
Capex / Sales	3.5%	3.5%	3.4%	3.4%	4.3%	4.6%	4.3%	4.9%	4.3%	4.2%	3.7%	3.7%	3.6%	3.5%
OpFCF / Sales	41.8%	43.4%	46.1%	39.4%	45.2%	53.4%	56.3%	55.3%	55.1%	58.6%	63.0%	58.5%	60.8%	62.9%
WCR / Sales	(4.0%)	(3.5%)	(4.5%)	0.2%	6.9%	10.3%	8.5%	7.5%	8.6%	5.9%	3.6%	13.2%	21.0%	27.2%
Capital employed (excl. gdw. / intangibles) / Sales	3.0%	3.4%	2.1%	6.3%	17.7%	22.8%								

VISA (Outperform)

Price at 6 Aug. 26 / Target Price

Payment Services - USA

USD370.5 / USD425 +15%

Company description

Visa's roots go back to 1958 when Bank of America issued its BankAmericard credit card in the US and then licensed it out to banks globally (BankAmericard later became a bank alliance).

Visa IPOed in 2008 (apart from European activities).

Visa has used M&A to bolster its Services offering (e.g. online payment gateway), enrich its value-added features (e.g. secure authentication), and expand its reach in non-cards (e.g. Earthport). In larger M&A, Visa bought Visa Europe in 2016 for >\$20bn and Open Banking specialist Plaid for >\$5bn in 2020.

Visa works with 13k Issuers and 3k Acquirers; it has 4.3B cards in circulation and is accepted at 130m+ merchant locations.

Management

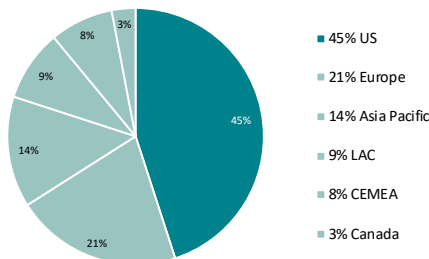
Alfred F. Junior Kelly, Chairman & CEO

Chris Suh, CFO

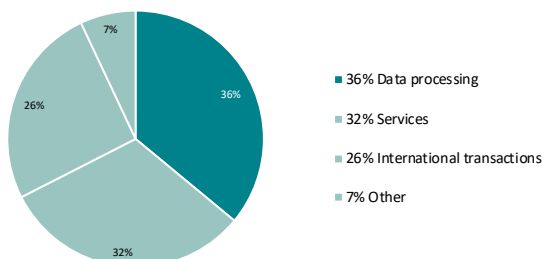
Ownership structure

The Vanguard Group	8.7%
Blackrock	4.9%
State Street Global Advisors	4.6%
Fidelity Management & Research	4.6%
T Rowe Price	4.4%
Other Shareholders	72.9%

Payments volume by region (FY 2024/25)



Net revenues by division (FY 2024/25)



Analyst

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Peer group YTD performance

Stock	Price (06 Aug. 26)	YTD performance in EUR (%)	
		Abs.	Rel. Sector
Nexi (=)	EUR 4.34	9.5	28
Wise Group US (+)	USD 12.4	7.8	26
Wise Group (+)	p 916	4.8	22
Block (+)	USD 79.0	23.6	18
Global Payments (-)	USD 87.7	15.9	11
Visa (+)	USD 370.5	7.9	3
PayPal (=)	USD 59.8	4.7	0.1
Mastercard (+)	USD 576.0	3.1	(1)
Bill (+)	USD 47.0	(12.3)	(16)
Adyen NV ADR (=)	USD 10.7		(20)
Adyen NV (=)	EUR 933.2	(32.1)	(21)
Fiserv (-)	USD 54.1	(18.0)	(22)
Klarna Group (=)	USD 20.3	(28.6)	(32)
FIS (-)	USD 42.8	(33.5)	(36)

Sector calendar

13 Aug. 26 **Adyen NV**: Q2 Results 2026
Adyen NV ADR: Q2 Results 2026
19 Aug. 26 **Bill**: Q4 Earnings 2026 (22:00 CET)

Price at 06 Aug. 26 / 12m Target Price
USD370.5 / USD425 +15%

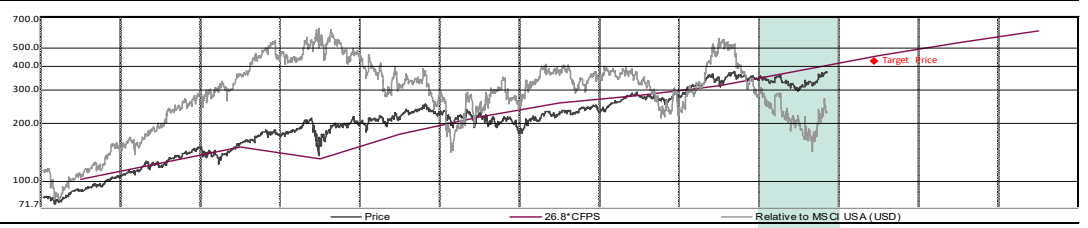
VISA (Outperform)

Refinitiv / Bloomberg: V.N / V.US

Analyst: Alexandre Faure +33 1 42 99 52 38

Payment Services - USA

Company Highlights			
		USDm / EURm	
Enterprise value	710,534 / 615,983		
Market capitalisation	706,218 / 612,241		
Free float	706,218 / 612,241		
3m average volume	2,758 / 2,391		
Performance (%)	1m	3m	12m
Absolute	4%	16%	10%
Rel. Sector	(2%)	(0%)	10%
Rel. MSCI USA	1%	11%	(10%)
12m Hi/Lo (USD) : 370.5 +0% / 295.5 +25%			
CAGR	2009/2026	2026/2029	
EPS restated	18%	16%	
CFPS	18%	17%	



Price (yearly avg from Sep. 16 to Sep. 25)	77.2	90.2	125.7	156.2	187.8	219.6	210.3	223.4	266.7	333.2	370.5	370.5	370.5	370.5
PER SHARE DATA (USD)	Sep. 16	Sep. 17	Sep. 18	Sep. 19	Sep. 20	Sep. 21	Sep. 22	Sep. 23	Sep. 24	Sep. 25	Sep. 26e	Sep. 27e	Sep. 28e	Sep. 29e
No of shares year end, basic, (m)	2 421.662	2 350.506	2 291.482	2 235.708	2 199.671	2 189.423	2 129.011	2 088.011	2 032.275	1 974.275	1 906.275	1 836.275	1 765.275	1 693.275
Avg no of shares, diluted, excl. treasury stocks (m)	2 414.000	2 395.000	2 329.000	2 272.000	2 223.000	2 188.000	2 136.000	2 085.000	2 029.000	1 966.000	1 907.929	1 851.962	1 801.959	1 753.306
EPS reported, Gaap	2.49	2.80	4.43	5.32	4.90	5.63	7.01	8.29	9.74	10.21	12.37	14.95	17.62	20.75
EPS company definition	2.84	3.48	4.61	5.44	5.04	5.91	7.51	8.77	10.05	11.47	13.27	15.26	17.77	20.63
EPS restated, fully diluted	2.86	3.50	4.62	5.46	5.05	5.92	7.50	8.73	10.01	11.42	13.26	15.23	17.73	20.60
% change	8.3%	22.4%	32.2%	18.1%	(7.6%)	17.3%	26.6%	16.5%	14.7%	14.0%	16.2%	14.8%	16.4%	16.1%
Book value (BVPS) (a)	13.6	13.9	14.8	15.5	16.5	17.2	16.7	18.6	19.3	19.2	18.3	17.6	17.0	16.5
Net dividend	0.56	0.68	0.83	1.00	1.22	1.28	1.58	1.80	2.15	2.44	2.77	3.14	3.61	4.19
STOCKMARKET RATIOS	Sep. 16	Sep. 17	Sep. 18	Sep. 19	Sep. 20	Sep. 21	Sep. 22	Sep. 23	Sep. 24	Sep. 25	Sep. 26e	Sep. 27e	Sep. 28e	Sep. 29e
P / E (P EPS restated)	27.0x	25.8x	27.2x	28.6x	37.2x	37.1x	28.0x	25.6x	26.6x	29.2x	27.9x	24.3x	20.9x	18.0x
P / E relative to MSCI USA	137%	116%	145%	144%	117%	185%	136%	99%	112%	102%	125%	124%	122%	119%
P / CF	33.3x	23.6x	27.4x	28.0x	38.8x	33.3x	26.2x	23.6x	25.4x	28.6x	26.2x	21.9x	18.8x	16.2x
FCF yield	2.7%	4.0%	4.1%	3.4%	2.3%	3.0%	3.9%	4.2%	3.4%	3.2%	3.8%	4.4%	5.2%	6.1%
P / BVPS	5.68x	6.47x	8.47x	10.07x	11.41x	12.79x	12.58x	12.04x	13.85x	17.35x	20.27x	21.04x	21.78x	22.51x
Net yield	0.7%	0.8%	0.7%	0.6%	0.6%	0.6%	0.7%	0.8%	0.8%	0.7%	0.7%	0.8%	1.0%	1.1%
Payout	19.6%	19.4%	18.0%	18.3%	24.2%	21.6%	21.0%	20.6%	21.5%	21.4%	20.9%	20.6%	20.3%	20.4%
EV / Sales	12.72x	11.96x	14.33x	15.53x	19.26x	20.01x	15.44x	14.35x	15.32x	16.76x	15.47x	13.31x	11.41x	9.74x
EV / Restated EBITDA	18.2x	17.0x	20.6x	22.3x	28.3x	28.7x	22.0x	20.4x	21.9x	23.9x	22.0x	19.0x	16.2x	13.8x
EV / Restated EBITA	19.0x	17.7x	21.4x	23.1x	29.7x	30.0x	22.9x	21.2x	22.7x	24.9x	22.9x	19.7x	16.8x	14.3x
EV / NOPAT	25.5x	30.9x	26.6x	28.5x	37.7x	39.2x	27.8x	25.9x	27.5x	30.0x	27.4x	24.2x	20.6x	17.6x
EV / OpFCF	24.5x	18.4x	20.2x	23.8x	32.8x	26.5x	20.6x	20.4x	22.9x	25.9x	22.9x	19.2x	16.2x	13.8x
EV / Capital employed (incl. gross goodwill)	4.5x	5.1x	7.2x	8.4x	9.2x	11.0x	10.7x	11.3x	11.8x	14.5x	15.8x	15.3x	14.9x	14.4x
ENTERPRISE VALUE (USDm)	191,814	219,527	295,291	356,782	420,680	482,301	458,592	468,705	550,250	670,352	710,534	686,344	661,130	635,456
Market cap	187,353	215,174	291,708	353,579	416,391	481,992	453,995	470,944	549,427	667,559	706,218	680,285	653,981	627,308
+ Adjusted net debt	10,263	8,493	8,468	8,891	7,781	4,490	6,761	4,177	8,861	8,007	9,530	11,273	12,362	13,363
+ Other liabilities and commitments	3,368	3,607	5,400	4,142	4,805	4,445	4,991	4,842	4,447	4,552	4,552	4,552	4,552	4,552
+ Revalued minority interests														
- Revalued investments	9,170	7,747	10,285	9,830	8,297	8,626	10,155	11,258	12,485	9,766	9,766	9,766	9,766	9,766
P & L HIGHLIGHTS (USDm)	Sep. 16	Sep. 17	Sep. 18	Sep. 19	Sep. 20	Sep. 21	Sep. 22	Sep. 23	Sep. 24	Sep. 25	Sep. 26e	Sep. 27e	Sep. 28e	Sep. 29e
Sales	15,082	18,358	20,609	22,977	21,846	24,105	29,310	32,653	35,926	40,000	45,936	51,579	57,937	65,245
Restated EBITDA (b)	10,524	12,892	14,362	16,027	14,865	16,780	20,664	22,939	25,173	28,054	32,327	36,159	40,776	46,089
Depreciation	(452)	(500)	(558)	(596)	(687)	(721)	(771)	(867)	(955)	(1,100)	(1,297)	(1,327)	(1,490)	(1,673)
Restated EBITA (b)	10,072	12,392	13,804	15,431	14,178	16,059	19,893	22,072	24,218	26,954	31,030	34,833	39,286	44,416
Reported operating profit (loss)	7,883	12,144	12,954	15,001	14,081	15,804	18,813	21,000	23,595	23,994	28,940	34,623	39,076	44,206
Net financial income (charges)	129	(450)	(148)	(117)	(291)	259	(677)	37	321	200	(190)	(300)	(152)	(185)
Affiliates														
Other														
Tax	(2,021)	(4,995)	(2,505)	(2,804)	(2,924)	(3,752)	(3,179)	(3,764)	(4,173)	(4,136)	(4,754)	(6,350)	(7,201)	(8,144)
Minorities	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Net attributable profit reported	5,991	6,699	10,301	12,080	10,866	12,311	14,957	17,273	19,743	20,058	23,996	27,973	31,723	35,878
Net attributable profit restated (c)	6,897	8,374	10,768	12,409	11,217	12,955	16,013	18,210	20,320	22,444	25,305	28,207	31,957	36,112
CASH FLOW HIGHLIGHTS (USDm)	Sep. 16	Sep. 17	Sep. 18	Sep. 19	Sep. 20	Sep. 21	Sep. 22	Sep. 23	Sep. 24	Sep. 25	Sep. 26e	Sep. 27e	Sep. 28e	Sep. 29e
EBITDA (reported)	8,385	12,700	13,567	15,557	14,848	16,608	19,674	21,943	24,629	25,172	30,447	36,159	40,776	46,089
EBITDA adjustment (b)	2,139	192	795	370	17	172	990	996	544	2,882	1,880	0	0	0
Other items	(2,165)	(297)	(1,017)	(432)	(980)	1,310	770	129	1,508	(800)	(969)	1,099	1,234	1,411
Change in WCR	(18)	48	2,025	127	(317)	808	1,694	992	(1,365)	142	1,122	280	698	599
Operating cash flow	8,341	12,643	15,370	15,722	13,568	18,898	23,128	24,060	25,316	27,396	32,480	37,538	42,708	48,099
Capex	(523)	(707)	(718)	(756)	(736)	(705)	(970)	(1,059)	(1,257)	(1,482)	(1,516)	(1,702)	(1,912)	(2,153)
Operating free cash flow (OpFCF)	7,818	11,936	14,652	14,966	12,832	18,193	22,158	23,001	24,059	25,914	30,964	35,836	40,797	45,946
Net financial items + tax paid	(2,767)	(3,435)	(2,657)	(2,938)	(3,128)	(3,671)	(4,279)	(3,305)	(5,366)	(4,337)	(4,392)	(5,935)	(6,564)	(7,446)
Free cash flow	5,051	8,501	11,995	12,028	9,704	14,522	17,879	19,696	18,693	21,577	26,571	29,901	34,232	38,500
Net financial investments & acquisitions	(9,082)	(302)	(196)	(699)	(77)	(75)	(1,948)	0	(915)	(887)	0	0	0	0
Other	(1,243)	2,041	(2,664)	(876)	2,261	318	(3,410)	(1,260)	(1,532)	3,114	0	0	0	0
Capital increase (decrease)	(7,157)	(6,891)	(7,192)	(8,607)	(8,114)	(8,676)	(11,589)	(12,011)	(16,713)	(18,316)	(22,810)	(25,829)	(28,818)	(32,146)
Dividends paid	(1,350)	(1,579)	(1,918)	(2,269)	(2,664)	(2,798)	(3,203)	(3,751)	(4,217)	(4,634)	(5,285)	(5,815)	(6,503)	(7,355)
Increase (decrease) in net financial debt	13,781	(1,770)	(25)	423	(1,110)	(3,291)	2,271	(2,584)	4,684	(854)	1,523	1,743	1,089	1,000
Cash flow, group share	5,592	9,160	10,688	12,657	10,757	14,419	17,155	19,763	21,315	22,917	26,966	31,323	35,446	40,055
BALANCE SHEET HIGHLIGHTS (USDm)	Sep. 16	Sep. 17	Sep. 18	Sep. 19	Sep. 20	Sep. 21	Sep. 22	Sep. 23	Sep. 24	Sep. 25	Sep. 26e	Sep. 27e	Sep. 28e	Sep. 29e
Net operating assets	44,450	45,211	45,224	45,131	46,455	46,337	46,075	47,526	49,654	51,761	51,770	51,936	52,148	52,418
WCR	(2,223)	(2,069)	(4,260)	(2,435)	(732)	(2,400)	(3,572)	(5,905)	(3,031)	(5,573)	(6,675)	(6,955)	(7,653)	(8,252)
Restated capital employed, incl. gross goodwill	42,227	43,142	40,964	42,696	45,723	43,937	42,503	41,621	46,623	46,208	45,095	44,981	44,495	44,166
Shareholders' funds, group share	32,912	32,760	34,006	34,684	36,210	37,589	35,581	38,733	39,137	37,909	34,840	32,326	30,027	27,867
Minorities	0	0	0	0	0	0	0	0	0	0	0	0	0	0
Provisions / Other liabilities	7,195	8,605	7,284	7,746	9,128	9,590	8,867	8,205	8,021	7,068	7,501	8,157	8,881	9,712
Net financial debt (cash)	10,263	8,493	8,468	8,891	7,781	4,490	6,761	4,177	8,861	8,007	9,530	11,273	12,362	13,363
FINANCIAL RATIOS (%)	Sep. 16	Sep. 17	Sep. 18	Sep. 19	Sep. 20	Sep. 21	Sep. 22	Sep. 23	Sep. 24	Sep. 25	Sep. 26e	Sep. 27e	Sep. 28e	Sep. 29e
Sales (% change)	8.7%	21.7%	12.3%	11.5%	(4.9%)	10.3%	21.6%	11.4%	10.0%	11.3%	14.8%	12.3%	12.3%	12.6%
Organic sales growth	8.1%	12.7%	11.3%	11.3%	(4.9%)	10.0%	26.1%	14.0%	9.9%	11.8%	13.2%	11.7%	12.3%	12.6%
Restated EBITA (% change)	10.4%	23.0%	11.4%	11.8%	(8.1%)	13.3%	23.9%	11.0%	9.7%	11.3%	15.1%	12.3%	12.8%	13.1%
Restated attributable net profit (% change)	6.4%	21.4%	28.6%	15.2%	(9.6%)	15.5%	23.6%	13.7%	11.6%	10.5%	12.7%	11.5%	13.3%	13.0%
Personnel costs / Sales	14.8%	14.3%	15.4%	15.0%	17.3%	17.6%	17.0%	17.9%	17.4%	17.4%	17.5%	16.2%	17.4%	17.3%
Restated EBITDA margin	69.8%	70.2%	69.7%	69.8%	68.0%	69.6%	70.5%	70.3%	70.1%	70.1%	70.4%	70.1%	70.4%	70.6%
Restated EBITA margin	66.8%													

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